

ORIGINAL

(S E R V E D)
(October 18, 2000)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

October 18, 2000

DOCKET NO. 00-04

AL KOGAN d/b/a GALAWAY INTERNATIONAL

v

**WORLD EXPRESS SHIPPING, TRANSPORTATION AND
FORWARDING SERVICES, INC. d/b/a W.E.S.T.
FORWARDING SERVICES (FMC LIC. #3118-R)**

**(1) MOTION TO LIFT PROTECTIVE ORDER
ON CERTAIN DEPOSITION GRANTED**

(2) NOTICE OF SETTLEMENT CONFERENCE

By motion, complainant requests that I lift the protective order issued in connection with a deposition of Mr Peter Janetzki, a former employee of respondent's, who gave his deposition on July 27, 2000, in Chicago, Illinois. This deposition, together with five others, has been filed in the

Commission's official docket room under seal and is among five others that have been filed in the Commission's docket room, the others not under seal.

The protective order was issued because of respondent WEST's concerns that Mr Janetzki might reveal sensitive, proprietary or other confidential information about WEST and might contravene his termination agreement. Upon examination of the deposition transcript, however, WEST now advises that it has no objection to the motion.¹ Accordingly, the protective order of confidentiality is lifted as regards the Janetzki deposition and the parties are free to make such use of it as they deem proper

The Need to Convene a Settlement Conference

I have indicated in previous rulings that the parties should seriously consider settlement, that the Commission strongly encourages settlement, and that a conference would be held at an appropriate time after the parties conducted depositions in Chicago to discuss the future course of the proceeding. Counsel for respondent WEST has advised that she wishes to have a settlement conference possibly in early November and cites 46 C F R. 502.91, which refers to but is not limited to the appointment of a mediator or settlement judge as possible means to facilitate settlement. The Commission's rules provide for a variety of techniques of alternative dispute resolution (ADR) that *are set forth in law*. See *Alternative Dispute Resolution*, 26 S R.R. 1032 (1993), amending 46 C F R. 502.1, 502.56, 502.61(d), 502.91(a)(d), 502.94(c), and 502.147(a). The ADR rules require the

¹Having examined the deposition transcript in question, I agree with WEST that there is no need to continue maintaining it under a seal of confidentiality.

consent of all parties. However, I am authorized to convene a prehearing conference pursuant to 46 C.F.R. 502.94, to consider, among other things, "offers of settlement or proposals of adjustment" and "such other matters as may aid in the disposition of the proceeding." I am also authorized to require the attendance of a representative of each party who has authority to negotiate concerning a resolution of the issues. See 46 C.F.R. 502.147(a).

My interest at this time is to assist the parties in arriving at a settlement so as to avoid costly and time-consuming litigation. In my experience I have been able to facilitate settlements by engaging in frank discussions with counsel in which I explain the risks of litigation and briefly lay out a tentative evaluation of the claims and defenses of the parties in terms of applicable case law under the Shipping Act. It has been my experience that such explanations and tentative evaluations have led to settlements. In order to ensure that any prehearing conference aiming to help the parties reach settlement will be productive I am furnishing counsel with several case citations dealing with the duties and liabilities of ocean freight forwarders licensed by the Commission as well as other cases that might be useful by way of analogy. In this way I hope that counsel will be in a better position to understand the risks of continued litigation and the merit to an amicable settlement before further costs are expended. I am not trying to prejudge the merits of the parties' claims and defenses but only to point out the weaknesses or strengths of their positions insofar as I can ascertain them from a perusal of the information that counsel have developed in the depositions that were conducted in Chicago. I suggest that counsel prepare themselves for the conference by perusing applicable or analogous case law that I am providing.

The Commission has long held ocean freight forwarders that it licenses to high standards of conduct as skilled agent-fiduciaries of their shipper-principals. I am providing counsel with some

case citations, which are not, of course, all of such cases and do not suggest that WEST or complainant necessarily resembles the parties in the cases. In some of them the respondent freight forwarders acted abominably and perhaps even criminally. However, the cases do illustrate the Commission's thinking on the status and liability of licensed freight forwarders and on the law of damages. The following cases therefore should be studied with the above objectives in mind.

Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc., 26 S.R.R. 788,796 (1992), and cases cited therein (the forwarder is a fiduciary held to high standards of conduct), *Chicago, Milwaukee, St. Paul, etc. v. Acme Fast Freight, Inc.*, 336 U.S. 465, 484-485 (1949) (freight forwarder who is not a carrier acts as a shipper's agent and is liable to his shipper-principal for its own negligence, including negligence in selecting a carrier), *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R. 233, 236-237 (1995), and cases cited therein (freight forwarders are fiduciaries performing vital, sensitive functions who are required to observe the highest standards of behavior toward their principals, the shippers), *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 23 (1991) (forwarder who abandoned shipment held liable for value of the shipment). For a case arising in federal court under admiralty law in which a freight forwarder was held liable to its shipper-principal for its failure to furnish clean bills of lading and to monitor the loading of the ship on which the cargo was loaded on deck, causing damage, see *Ingersoll Milling Machine Co. v. M/V Bodena, et al.*, 829 F.2d 293 (2d Cir. 1987), affirming in relevant part, 619 F. Supp. 493 (S.D.N.Y. 1985). For other court cases applying principles under the law of agency, see *Dubern v. Gerard Trust Bank*, 454 F.2d 565 (3d Cir. 1972) (agent who failed to follow instructions of its principal held liable under negligence theory), *Bank of British North America v. Cooper*, 137 U.S. 473 (1890) (agent who disregarded explicit instructions of its principal held liable for any loss thereby resulting). See also

the discussion in 3 Am Jur 2d, Agency, sections 215-217 (Care, Skill and Diligence Required of agents)

In the area of the law of damages counsel should study the following cases

Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc., cited above, 26 S.R.R. at 797 *et seq.* (discussing basic principles of the law of damages, including concepts of proximate cause, reasonable certainty and certain types of damages that are not compensable under the Shipping Act), *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 22 S.R.R. 1054, 1058-1059 (1984) (complainant must show a causal relationship between violation and damages, *William J. Brewer v. Saeid B. Maralan*, 28 S.R.R. 1331, 1335-1337 (Initial Decision, January 11, 2000, pending Commission decision on exceptions) (discussing what items of damages are compensable under the Shipping Act when a carrier failed to deliver a shipment properly)

The preceding cases dealt mainly with the question of a freight forwarder's duties and possible liabilities and the law of damages as followed by the Commission. Mention should also be made of WEST's counter-complaint that invokes section 1 O of the 1984 Act. The risk of litigation associated with WEST's counter-complaint under that law relates to the fact that the Commission does not view its jurisdiction as dealing with freight-collection cases. Rather the Commission looks to see if the respondent has engaged in a false act or an "unjust or unfair device or means" to avoid paying lawful freight. To prevail under the 1984 Act, therefore, WEST would have to prove Mr. Kogan to have practiced bad faith or deceit or the like. See *Unpaid Freight Charges*, 26 S.R.R. 735 (1993), *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1424 (1994). Moreover, as seen from the *Waterman* case, a section 1 O(a)(1) complaint is usually filed by a carrier, not a freight forwarder. Consequently, WEST would have to argue that it has

standing to recover unpaid charges in lieu of the actual carrier who allegedly has already been paid by WEST

My final observation concerns the fact that it appears that a major, if not the primary or sole cause of the misrouted or delayed shipment, is the NVOCC, Atlantic Ocean Lines (A.O.L), who appears to have misrouted the shipment to Israel. However, A.O.L is probably now out of business and its bond exhausted. Accordingly, the problem is who now should be held responsible for Mr Kogan's alleged damages

Notice of Settlement Conference

A prehearing conference for the main purpose of discussing possible settlement will be held beginning at 1:30 p m. EST on Thursday, November 2, 1000, in Room 1034 (Commissioners' Conference Room), 800 North Capitol Street, N W , Washington, D C At this time it is not necessary for the clients to attend the conference which will be rather technical. However, if it appears desirable to obtain a client's authority, it may be possible to arrange for telephonic contact to be made

In order that I may assist the parties in evaluating the strengths and weaknesses of their claims and defenses so as to facilitate a settlement it is necessary for me and the parties to understand precisely what items of money damages each party is claiming and how such claims would be proved. It is especially necessary for complainant to furnish specific information as to this matter because at present I have little on this matter I need similar information from respondent WEST as well. Therefore, at a reasonable time in advance of the conference each party shall submit the

requisite information. The information can be submitted in the form set forth in 46 C.F.R. 502.95,
to the extent relevant to settlement discussions

Norman D. Kline
Norman D. Kline
Administrative Law Judge